



E3 COMPASS

Management Systems

Field Guide for Lead Operating Partners

Can this company set priorities, run the business, and hold people accountable without the Principal in the room?

This guide reflects E3's current operating point of view on management systems in founder-led businesses. It draws on the E3 Compass Management Systems knowledge, the associated Plays and Tools, and the LOP Question Bank. It is written for an experienced operator, investor, or board member picking up a Member engagement, not as an introduction to operating cadence.

INTERNAL • E3 COMPASS KNOWLEDGE MANAGEMENT SYSTEMS
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1. The Operating Question

Management systems are what convert intent into results. When they are missing, execution runs on the founder's personal attention, which does not scale and does not transfer to a buyer. When they are working, the company sets a small number of priorities, runs a rhythm that surfaces problems early, and holds people to what they committed to, and it does all of that whether or not the Principal is in the building.

The question to carry through the diagnosis is direct:

Does the company have a repeatable way to set priorities, run the business, and hold people accountable without the Principal in the room?

The reason this matters to value is specific. A business whose performance depends on the founder rescuing every problem is a business a buyer discounts, because the thing producing the results is a person rather than a system. Much of what an LOP does in the first year is build the operating machinery that lets the company perform without heroics, and then prove it holds when the founder steps back.

2. The E3 Point of View

Everything as a priority means the tradeoff was never made. A company that lists a dozen priorities has told you it is unwilling to choose. The work is not to help the team do more. It is to force the cut to the three to five things that will actually move value, and to name in writing what is being stopped. The list is real only when the deferred work actually stops consuming people and capital.

A meeting is a place to decide, not to report. The test of a management meeting is how many decisions it produced, not how thorough the updates were. When the substance happens in the hallway afterward, the meeting is theater and the real operating system is invisible. Fixing this is rarely about the agenda. It is about who is in the room and what happens when a commitment is missed.

Accountability is a system, not a personality. When leaders treat missed commitments as a matter of individual character, the company will keep hiring for conscientiousness and keep being disappointed. Accountability is produced by capturing commitments with an owner and a date, opening the next meeting with a review of them, and letting a missed commitment carry a visible consequence. Where those three things exist, ordinary people are reliable. Where they do not, exceptional people still slip.

Measure what drives the result, not what is easy to count. Most scorecards report what the accounting system happens to produce, which means leaders see lagging financials and none of the numbers they actually control. A useful measurement system starts from the value drivers and works down to the leading indicators a specific leader can move, with one owner per number and a written definition so two people calculate it the same way.

The Principal is usually the constraint on the system, and the last to see it. The founder who rescues every problem is teaching the team not to own problems. The operating rhythm that only runs because the Principal drives it is not a system, it is a habit that will not survive their absence. The most useful thing an LOP can install is not another meeting. It is the discipline that lets the founder miss a month without the rhythm breaking.

A framework installed as vocabulary changes nothing. Teams adopt the language of an operating system, the scorecards and the cadence and the terminology, while the underlying behavior stays exactly as it was. New words on the same habits is the most common failed outcome in this work, because it feels like progress and costs real effort. The only evidence that counts is whether decisions get made and commitments get kept.

3. What Good Looks Like

A company with real management systems is easy to recognize because the operating rhythm carries the business rather than the founder's memory.

There is a short list of company priorities that people can recite without looking them up. The meeting cadence has distinct purposes that do not overlap: a weekly operating meeting, a monthly performance review, a quarterly priority reset, an annual plan. Numbers are reviewed against a plan, and the owner of each number explains the variance without finance translating for them. Commitments are captured with an owner and a date, and the next meeting opens by reviewing them. Problems surface early, because raising a problem is safe and expected rather than punished. And the Principal can miss a month without the rhythm faltering.

None of this depends on a particular framework or a large management team. A single weekly meeting that decides things, a monthly review against plan, and commitments that are actually tracked will outperform an elaborate operating system that produces documents and no decisions.

4. What the LOP Should Notice

Management-systems problems show up as patterns across meetings and months, not as a single bad week. One long meeting or one late report means little. The signal is repetition and drift.

In the priorities, listen for whether anyone can state them. When every leader gives a different answer, or reaches for a document, the priorities live in the founder's head and arrive as instructions rather than as a shared plan. When the list has a dozen items, the tradeoff was never made and attention is spread too thin to move any of them.

In the meetings, watch what actually happens. If the time goes to status updates and the decisions get made afterward in smaller conversations, the meeting is not the operating system. If the same issue appears on three consecutive agendas with no owner, the company is discussing rather than deciding. If decisions made in the room get renegotiated in the hallway, the meeting has no authority.

In the commitments, notice what happens when one is missed. If commitments slip without comment or consequence, the accountability system does not exist, whatever the org chart says. If last quarter's commitments cannot be counted, no one is tracking them.

In the numbers, notice how they arrive. If the reporting is late, or different each time, or disputed in the meeting, the company is arguing about the scoreboard instead of playing the game. If the Principal is the only person who really knows how the business is performing, the reporting system is in one person's head.

Taken together, these usually point to a small set of root causes. Too many priorities, meetings that report rather than decide, and commitments that slip are not three separate problems. They are the visible signs of a company with no forced tradeoff mechanism, no accountability system, and a Principal who rescues every problem and by doing so teaches the team not to own them. Reading them as one condition is what turns a list of complaints into a diagnosis.

5. Diagnosis

Management systems are where an LOP can do real damage by prescribing the obvious fix. The presenting complaint is usually "our meetings are bad" or "we have no accountability," and the obvious response, a new meeting structure or a scorecard, treats a symptom while the cause sits untouched. The discipline is to establish what is actually broken before installing machinery.

Separate a priority problem from an execution problem. A team that cannot finish anything may have too many priorities, or may have the right number and lack the capability to execute them. Resetting priorities for a team that cannot execute changes nothing, and installing execution discipline on a team drowning in priorities changes nothing either. The tell is whether the few things that do get finished are done well. If they are, the problem is overload. If they are not, the problem is capability.

Separate a meeting problem from an accountability problem. A meeting that produces no decisions often looks like a facilitation issue, which is why the common fix is a better agenda. Usually the real issue is that nothing happens when a commitment is missed, so there is no reason to make or keep one. A redesigned agenda on top of absent accountability reverts to a reporting session within a month.

Separate a measurement problem from a data problem. When leaders dispute the numbers in the meeting, it can mean the metrics are wrong or it can mean the data is unreliable. These need different work. Building a KPI architecture on top of a data source that no one trusts produces a more elaborate argument about whose number is right. Where any metric will be disputed, fix the data first.

Separate the system from the person running it. A cadence can be well designed and fail because the leader running it will not hold the line, or be poorly designed and survive on the strength of a disciplined operator. Before redesigning the system, establish whether the constraint is the design or the person, because the interventions are opposite.

Separate the stated priorities from the operating ones. A company can run a quarterly priority process on paper while the real priorities are set weekly by whatever the Principal is worried about. When that is happening, the documented system is a fiction and the actual operating system is the founder's attention. This is the most important thing to catch, because every other fix is wasted while it persists.

A short set of diagnostic questions surfaces most of this, and the hesitation matters as much as the answer.

- What are the top priorities this quarter, and who here could state them without checking?
- What decision did the management meeting make last week?

- What issue has been on the agenda more than three times without resolution?
- What happens when someone misses a commitment?
- How many of last quarter's commitments were completed, and how do you know?
- How long after month end does the leadership team see results, and what decisions wait on that?
- What does the leadership team do when the Principal is away for two weeks?
- What is deliberately not being worked on right now?

The last question is the sharpest. A team that cannot name what it has chosen not to do has not set priorities. It has made a wish list.

6. The Questions Worth Asking

These questions are for provoking thinking, not for gathering information. Ask one and wait. Three that land in a meeting is a strong outcome, and the useful part is usually the pause before the answer.

On priorities

- If you could only make real progress on three things this year, which three, and why those?
- What are we continuing because it is familiar rather than because it earns the attention?
- Which of these priorities would a new owner stop in the first month?
- What have we deliberately decided not to do, and has it actually stopped?

On the operating rhythm

- What decision did this meeting make last week?
- Who is in this room who does not need to be, and who is missing?
- What conversation happens after this meeting that should happen in it?
- Is the cadence built around how the business creates value, or around habit?

On accountability and measurement

- What happens when a commitment is missed here?
- How many of last quarter's commitments were completed, and how do you know?
- Which three numbers most move the result in your function, and can you influence them?
- What would tell you a month early that this quarter is at risk?

On the founder's role in the system

- If the Principal stepped back for six months, which part of the operating system would fail first?
- How much of the current performance depends on heroics rather than process?
- What would this team run differently if it believed the priority list was real?

Notice which questions produce a confident answer and which produce a look toward the Principal. The direction people look when a hard question lands tells you where the operating system actually resides.

7. Economics and Enterprise Value

Management systems are easy to treat as internal hygiene with no line to value, which is why they are underbuilt in exactly the companies that most need them. The connection runs through four of the E3 value drivers, and the argument is worth making concretely, because a Principal will fund an operating rhythm only when they see what it is worth.

Management Scalability. A business that runs on the founder's attention has a hard ceiling, because one person's capacity to track priorities, chase commitments, and hold the numbers is finite. Installing the operating rhythm removes that ceiling. The leadership team can run a larger business at the same quality, which is the precondition for most growth an LOP would otherwise recommend. Without it, every growth initiative competes for the same scarce founder attention, and the initiatives quietly starve each other.

Founder Independence. This is the driver a buyer tests most directly. A company that performs only when the founder is present carries key-person risk that shows up as a lower multiple and, in a sale, as an earn-out that keeps the founder tied in. A functioning management system is the evidence that the results belong to the company rather than to the owner. The value created is the discount removed, and it is realized precisely when the founder wants to step back, which is usually when it is too late to build it.

Revenue Predictability. A cadence that reviews leading indicators against a plan turns surprises into early warnings. A business that can see a weak quarter coming a month out, and act, produces results that vary less from period to period. Predictable results are worth more than volatile ones at the same average, because a buyer and a lender both price the variance, not only the mean. Leading indicators are how a management system converts variance into information.

Margin Expansion. Much of the margin lost in mid-market companies leaks through rework, expediting, escalation, and decisions made late or not at all. A system that surfaces problems early and assigns them an owner recovers margin that was being lost to disorder. This is slower and less visible than a pricing move, and it compounds, because a company that decides well keeps deciding well.

A note on precision. The direction of these relationships is E3's stated view and matches ordinary transaction experience. The magnitude in any specific company should be argued from that company's own performance, its variance, and its diligence history, rather than from a general multiple. The concrete version, built from the Member's own numbers, always persuades a Principal more than a rule of thumb, and inventing a figure to strengthen the case is a false economy that a good CFO will see through.

8. E3 Plays

Four Plays carry most management-systems work, and the order in which they are run matters more here than almost anywhere else. Diagnose first. Installing a scorecard before the meeting can use it, or a meeting structure before there is any accountability behind it, produces the vocabulary of a system and none of the behavior.

Management Meeting Reset

Compass: [02_E3_PLAYS/Management_Meeting_Reset.md](#) · Foundational

Situation. The management meeting produces updates rather than decisions. Time goes to reporting, commitments are not tracked, and the real conversation happens elsewhere. The trigger is often meetings that run long and decide little, attendees who add nothing to most of the agenda, or the same issue recurring with no owner.

What the LOP is trying to accomplish. A meeting that decides. Commitments reviewed first, issues resolved rather than discussed again, and a rhythm that runs without the Principal driving every item.

Management owner. The CEO. **LOP role.** Facilitate, then Monitor. The LOP may run one or two meetings to set the standard, then hand it back. A meeting the LOP has to keep running is not fixed.

Key steps. Define the purpose of each recurring meeting and remove the overlap. Set attendance by who is needed to decide, not by seniority or courtesy, which is usually the hardest change. Structure the agenda around a scorecard review, a commitment review, two or three decisions, and escalation. Require materials in advance. Capture every commitment with an owner and a date. Open the next meeting with the commitment review, every time. Review the format after a month.

Evidence of success. Commitments are reviewed first and completion improves, issues get decided rather than raised again, and the meeting runs without the Principal driving it.

Common failure mode. Changing the agenda without changing what happens to a missed commitment, keeping everyone in the room to avoid offense, and letting the meeting drift back into a reporting session within a month. The deepest version is treating this as a facilitation problem when it is an accountability problem.

Precondition worth enforcing. The team must be capable of making decisions. Where the real issue is that it is not, the work is capability, and a better meeting will not supply it.

Strategic Priority Reset

Compass: [02_E3_PLAYS/Strategic_Priority_Reset.md](#) · Foundational

Situation. The company has too many priorities, which means it has none. Attention and capital are spread thin and the most valuable work does not get done. The trigger is a list longer than five, initiatives that have run a year with no completion date, or leaders who cannot name the top three consistently.

What the LOP is trying to accomplish. Three to five priorities for the period, each with an owner and a milestone, and a written, enforced list of what is being stopped or deferred.

Management owner. The CEO with the leadership team. **LOP role.** Challenge and Facilitate. The LOP's contribution is forcing the tradeoff the team is avoiding.

Key steps. List every active initiative with its owner, cost, and expected outcome. Map each to a value driver and estimate impact and confidence. Rank by value and by capacity to execute, not by sponsor seniority. Force the cut to three to five. Name what is being stopped, in writing. Assign one owner and a next milestone per priority. Review monthly and hold the line against additions.

Evidence of success. Leaders state the priorities without prompting, deferred work stays deferred for the period, and milestone completion improves on what remains.

Common failure mode. Cutting the list on paper while the deferred work continues informally, choosing priorities by who sponsored them, and failing to reallocate the people the cut freed up. Adding a new priority mid-period without removing one restarts the original problem.

Precondition worth enforcing. The Principal must be prepared to stop things, not only to start them. A reset that only adds is not a reset.

KPI Architecture

Compass: [02_E3_PLAYS/KPI_Architecture.md](#) · Foundational

Situation. The company measures what is easy rather than what drives the result. Leaders cannot see the numbers they control, and the board sees lagging financials only. The trigger is a scorecard with dozens of metrics and no owners, recurring disputes over whose number is right, or a quarter missed with no early warning in the metrics.

What the LOP is trying to accomplish. A measurement system that connects the value drivers to the leading indicators a leader can act on, with one owner per number and definitions clear enough that two people calculate the same result.

Management owner. The CFO, with each functional leader owning their own metrics. **LOP role.** Bring Expertise and Facilitate.

Key steps. Start from the value drivers the company is trying to move. Build the tree downward from financial outcome to operating driver to leading indicator. Assign one owner

per metric, with no shared ownership. Define each metric in writing, including calculation and source. Set targets from the plan rather than from history. Reduce ruthlessly, toward a scorecard a leader can read in ten minutes. Install it in the existing meeting and review after two cycles.

Evidence of success. Leaders explain their own variance without finance translating, problems become visible before they reach the financials, and the scorecard is used in the meeting rather than distributed and ignored.

Common failure mode. Measuring everything available rather than what matters, metrics with no owner or shared ownership, building the scorecard in finance and handing it to operators, and leaving definitions verbal so disputes are guaranteed.

Precondition worth enforcing. There must be a functioning meeting to use the metrics in, and data good enough that the numbers will not simply be argued about. Where the data is that poor, fix the data first.

Org Design Reset

Compass: [02_E3_PLAYS/Org_Design_Reset.md](#) · Intermediate

Situation. The structure reflects history rather than strategy. Accountabilities overlap, work falls between roles, and the Principal fills the gaps. The trigger is two people owning one outcome or no one owning it, growth that has doubled while the structure has not changed, or a senior hire with no clear place to sit.

What the LOP is trying to accomplish. A structure defined by the accountabilities the strategy requires, with one owner per critical outcome and decision rights stated alongside each role, and a sequenced plan for getting there.

Management owner. The CEO or Principal. **LOP role.** Facilitate and Challenge. The LOP forces the design to follow the strategy rather than the current people.

Key steps. Restate the strategy and the outcomes the organization must deliver. Define the accountabilities required, independent of who holds them today. Design the structure to those accountabilities, including what each role decides. Map current people to the design and mark the gaps and overlaps. Sequence the change: what happens now, what waits for a hire. Communicate accountabilities, not only boxes. Review after a quarter against the problems it was meant to solve.

Evidence of success. Every critical outcome has one owner, cross-functional escalations decline, and leaders can state what they own and what they decide.

Common failure mode. Designing around the existing people and calling it strategy, changing boxes without changing decision rights, and creating roles the company cannot

afford or fill.

Why it is Intermediate. Org design depends on the foundational work being in place. It needs clear priorities to design against and a leadership assessment to be honest about who fits the new roles. Run before those exist, it becomes a reshuffle that solves nothing.

A fifth Play, Founder Decision Rights Reset, sits across this capability and Governance. When decisions stall because the right to decide has never been written down, that Play is the intervention, and it is covered in the Governance field guide.

9. Tools and Work Products

The Plays produce a small set of durable artifacts. Each lives in Compass, is built with the Member, is owned by management, and earns its keep only if it is used in the operating rhythm rather than filed.

TOOL	WHEN TO USE IT	WHAT IT SHOULD ACCOMPLISH	OWNER	COMPASS REFERENCE
Management Scorecard	In every management meeting once the KPI work is done; monthly for the board summary	A view the team manages against, read in ten minutes, with variance explained by the owner of each number rather than by finance	CEO, each metric owned by a named leader	03_E3_T00LS_AND_TEMPLATES/Management_Scorecard.md
KPI Tree	When building or rebuilding the scorecard, or when leaders cannot see the numbers they control	A map from value drivers down to the leading indicators a leader can act on, one owner and a written definition per metric	CFO, each leader owning a branch	03_E3_T00LS_AND_TEMPLATES/KPI_Tree.md
Accountability Chart	During org design work, or when outcomes are unowned or duplicated	A map of who owns which outcome and what each role decides, independent of titles and reporting lines	CEO	03_E3_T00LS_AND_TEMPLATES/Accountability_Chart.md
Annual Plan	Annually, built from the strategy rather than last year's budget	The year's operating commitment: targets, priorities, owners, and resources, built by the people who must deliver it	CEO with the CFO	03_E3_T00LS_AND_TEMPLATES/Annual_Plan.md
100-Day Plan	At the start of an engagement, a new leader's arrival, or a post-close integration	A short, sequenced plan of what to learn, whom to build relationships with, and the early decisions that signal direction	The person whose hundred days it is, held to it by the LOP	03_E3_T00LS_AND_TEMPLATES/100_Day_Plan.md

Two things decide whether these tools work. The first is that they are built from the company's strategy and its real work rather than from a template, which is why the KPI tree starts from value drivers and the annual plan is built by the leaders who must deliver it. The second is that they are used in the rhythm. A scorecard distributed and not reviewed, an

accountability chart drawn and not enforced, or an annual plan filed and not reforecast is worse than nothing, because it signals that the system is decorative.

[E3 INPUT REQUIRED] The Tools in Compass carry starter structures. Where E3 has an existing version of any of these in active use with Members, it should replace the starter structure so the guide points to the real instrument.

10. A Working Example

Drawn from a live E3 engagement, anonymized. Names, figures, and identifying details have been removed. It is one engagement, not a validated pattern, and it is here to show the reasoning.

The company. A closely held industrial services business with two owner-operators, strong recent earnings, and a leadership team that had grown with the business. On paper the operating cadence looked mature: a quarterly board rhythm, a written pre-read, a project-management system in place.

The observation. At the one-year mark, almost the entire board meeting was spent deciding roles: which seats to hire, at what level. The strategy discussion had happened somewhere else, between meetings, and arrived as conclusions rather than as questions the team had worked through together.

The evidence. Nearly every agenda item resolved to the same answer, a role the company did not yet have, and in each case one of the two owners was personally doing that work in the meantime. The project-management system had been bought and adopted in name, but almost none of its fields were filled, so the operating data lived in people's heads. Forward-looking cash reporting had been committed a year earlier and was still not live. A compensation commitment had been deferred twice, and its dependency sat with the same owner who was the bottleneck for everything else.

The likely issue. Read as separate items, this looks like a hiring plan, a software adoption problem, and a late finance deliverable. Read together, it is a management-systems picture. The real operating system was the two founders' attention, and the documented cadence was running on top of it as vocabulary. The project tool with empty fields, the reporting that never went live, and the strategy that lived in the founders' heads were the same condition: revenue had outgrown the management layer, and the founders were absorbing the gap rather than building the system that would close it.

What the LOP would investigate. Whether the leadership team could state the priorities without looking, or whether they lived with the founders. What happened when a commitment was missed, given that a visible one had slipped twice. How long after month end the team saw results they could act on. And what the team actually did when the founders were both traveling, which is the fastest test of whether a system exists.

Relevant E3 knowledge. This sits at the intersection of Strategic Priority Reset, Management Meeting Reset, and KPI Architecture, with Founder Decision Rights Reset underneath, since the founders absorbing the missing layer is a decision-rights problem as much as a systems one. Management Systems is the anchoring capability, and the through-line is that a rhythm which only runs on founder attention is a habit, not a system.

A possible intervention. Sequence matters. Hiring the missing roles without first making the priorities explicit and the meeting decision-driven would reproduce the founder-dependency one level down, with new people waiting for the founders exactly as the current team does. The order that addresses the cause: reset the priorities so the new roles inherit a plan rather than author one, reset the meeting so commitments are tracked and decisions are made in the room, then build the measurement so the operating data leaves the founders' heads and lives in the system. The hires land into a working system rather than into the gap.

11. Where Companies Get This Wrong

The recurring management-systems mistakes are specific, and each one feels like progress at the time.

Installing a framework as vocabulary. A company adopts the language of an operating system, the terminology and the templates and the cadence, while the underlying behavior stays exactly as it was. It feels like change and costs real effort, which is what makes it dangerous. The correction is to judge only by outcomes: are decisions being made, and are commitments being kept.

Adding meetings instead of fixing the ones that exist. A team with an ineffective weekly meeting adds a monthly one, then a quarterly one, and now has three ineffective meetings. The correction is to fix the meeting that exists, starting with who attends and what happens to a missed commitment, before adding any new cadence.

Scorecards with fifty metrics and no owner. Measuring everything available produces a report no one reads and a standing argument about whose number is right. The correction is to start from the value drivers, cut to the few metrics that move them, and give every one a single owner and a written definition.

Confusing activity tracking with accountability. A detailed task list tells you what people did, not whether they delivered the outcomes that matter. The correction is to hold people to outcomes with owners and dates, and to let a missed commitment carry a visible consequence.

Running a paper priority process over a real one set weekly by the founder. The company holds a quarterly priority meeting while the actual priorities are set every week by whatever the Principal is worried about. The correction is the hardest one, because it requires the Principal to stop resetting the priorities by attention and let the documented process be the real one.

KPIs that are measurable but not causal. A company tracks numbers that are easy to produce and have no real link to the outcome, then wonders why moving them changes nothing. The correction is to build the measurement from the value driver down, so every metric has a plausible line to the result a leader is trying to produce.

12. Advanced Issues

The following are situations an experienced LOP meets once the foundational rhythm is working. They are not a further course, and attempting them before the weekly meeting decides things and the priorities are real produces sophistication with no foundation to stand on.

Integrated planning. At the most developed level, strategy, the annual plan, the scorecard, and compensation are one connected system rather than four disconnected exercises. The priorities set in the strategy flow into the plan, the plan sets the scorecard targets, and the scorecard drives what compensation rewards. When these are integrated, the company pulls in one direction. When they are separate, the plan says one thing, the scorecard measures another, and pay rewards a third, and the operating system quietly works against itself.

The system running without the Principal. The real test of an operating system is what happens when the founder steps back for a period. An LOP should run that test deliberately rather than wait for it to happen by accident: agree a stretch where the Principal stays out of the operating rhythm, and watch what breaks. What fails first is the next piece of work. A system that passes this test is the thing a buyer is really paying for when they pay for management quality.

Cadence matched to how value is created. A mature operating rhythm is built around the way the specific business actually creates value, not around a generic weekly-monthly-quarterly template. A project business, a subscription business, and a seasonal business each need a different rhythm, and the sign of a system designed by habit rather than by thought is a cadence that could belong to any company. Getting this right is where the operating system stops being overhead and starts being a source of advantage.

13. LOP Meeting Preparation

A reference for the five minutes before a Member meeting where the operating system is on the table.

What I would want to know. Whether leaders can state the priorities without checking. What the last management meeting actually decided. What happens when a commitment is missed. How many of last quarter's commitments were completed. How long after month end the team sees results. What the team does when the Principal is away.

Questions I would ask. What decision did the meeting make last week. What issue has been on the agenda more than three times. If you could fund only three priorities, which three. What is deliberately not being worked on. If the Principal stepped back for six months, what fails first.

Data I would request. The current meeting inventory with purpose, attendees, and frequency. Recent agendas and minutes. Outstanding commitments and their history. The reporting package and the current scorecard. The list of active initiatives with owners and status.

Signals I would watch. A dozen priorities. Meetings that report rather than decide. The same issue recurring with no owner. Commitments slipping without comment. Numbers arriving late or disputed in the room. The Principal as the only person who knows how the business is really doing.

Relevant Plays. Strategic Priority Reset and Management Meeting Reset for the foundational rhythm. KPI Architecture once there is a meeting to use the numbers in. Org Design Reset once priorities and leadership are clear enough to design against. Founder Decision Rights Reset, covered in the Governance guide, where decisions stall because the right to decide was never written down.

Likely next decision. Usually one of: whether to force a priority cut and what gets stopped, whether to reset the management meeting and change who attends, or whether to build the measurement before or after the meeting is fixed. The LOP brings the company to the decision and holds the standard, rather than running the rhythm for them.

14. Compass References

Compass Knowledge 01_E3_CORE_KNOWLEDGE/MGT_Management_Systems.md

Related Plays 02_E3_PLAYS/Strategic_Priority_Reset.md

02_E3_PLAYS/Management_Meeting_Reset.md 02_E3_PLAYS/KPI_Architecture.md

02_E3_PLAYS/Org_Design_Reset.md 02_E3_PLAYS/Founder_Decision_Rights_Reset.md

Related Tools 03_E3_TOOLS_AND_TEMPLATES/Management_Scorecard.md

03_E3_TOOLS_AND_TEMPLATES/KPI_Tree.md 03_E3_TOOLS_AND_TEMPLATES/Accountability_Chart.md

03_E3_TOOLS_AND_TEMPLATES/Annual_Plan.md 03_E3_TOOLS_AND_TEMPLATES/100_Day_Plan.md

Question Bank 04_E3_QUESTION_BANK/LOP_Question_Bank.md

Engagement Model and Terminology 00_SYSTEM/LOP_ENGAGEMENT_MODEL.md

07_ADMIN/E3_TERMINOLOGY.md

E3 Compass Field Guide. Internal E3 document. Reflects E3's current operating point of view, drawn from the Compass Management Systems knowledge and the associated Plays, Tools, and Question Bank.